

Besides knowing your preferred fee structure, did you have any idea of how you planned to trade the markets?

I knew there was a very good chance I might not be able to figure out how to beat the markets, but I also knew there were some people who were beating the markets, thanks to your first *Market Wizards* book and other sources. As soon as I learned about the efficient market hypothesis, I was on a mission to prove it wrong.

Right around that time, I took a course in economics. I was horrified by some of the conclusions academics had come to, such as the efficient market hypothesis. I refused to learn the material because I thought a lot of it was wrong. The professor had given multiple-choice tests throughout the course. I pleaded with him to use essay questions instead of multiple-choice questions for the final exam. A week before the exam, he announced that it would be multiple choice. I was so frustrated that I decided to take the final exam with a box of crayons on my desk, and I made sure to sit up front, so everyone could see it. I wrote a note on the exam explaining that I was answering the questions with what I thought were the right answers, but that for those questions where I thought he was looking for a different answer, I would explain why I thought he was wrong and write that answer in a separate column. I also wrote that I would fail the exam if he went straight down the line and didn't pay attention to the alternative answers I provided. He ignored everything I wrote and just went straight down the line. He gave me a failing grade of 51. I don't really care that much about getting a 51—in fact I'm glad I did—because I know how wrong some of the “correct” answers were.

Did you have any mentors?

People ask me all the time if I had any mentors. The truth is that I am self-taught. I have thought through this so many ways, and there is no other way to put it. But if you ask me what manager I set out to emulate, it's clearly Paul Tudor Jones. It has nothing to do with his trading style, because I learned pretty early on that I had no interest in being a discretionary trader. Right around the time I read *Market Wizards*, he came to give a talk at Darden, University of Virginia's graduate business school. He wasn't that famous then.